

Tan Chek Jin Adrian v Comptroller of Income Tax

[2026] SGHC 132, Tax Appeal No 8 of 2025

General Division of the High Court of the Republic of Singapore

Jurisdiction

Singapore

Area of law

Revenue Law - Income taxation, tax avoidance, anti-avoidance provisions

Legal question

Whether the applicants' business arrangements consisting of ACJW, Medical Companies and Surgical Companies fell within the scope of Section 33(1) of the Income Tax Act as arrangements with tax avoidance as one of their main purposes. Additionally, whether the applicants qualified for the statutory exception under Section 33(3)(b) for arrangements carried out for bona fide commercial reasons.

Key facts

Three obstetrician-gynaecologists established ACJ Women's Clinic Pte Ltd (ACJW) in 2004 to operate a private medical practice after leaving KK Women's Children's Hospital. Subsequently, they established Medical Companies (ATOG, CKYM, JWMH) in 2005-2007 to achieve more equitable profit distribution. In 2014, they established Surgical Companies (ACJT, CKHI, JWS) to separate inpatient surgical services from outpatient services. The applicants paid themselves modest salaries (\$5,000-\$6,000 monthly) but extracted significant tax-exempt dividends and interest-free shareholder loans. For YA 2013-2018, the applicants obtained substantial tax benefits through Start-Up Tax Exemption and Partial Tax Exemption schemes. The Comptroller audited the applicants and issued additional assessments invoking Section 33, alleging tax avoidance was one of the main purposes of the arrangements.

Holding

The High Court upheld the Board's decision that the arrangements prima facie fell within Section 33(1) of the Income Tax Act as tax avoidance arrangements. The court found that viewing the three arrangements holistically as a single integrated arrangement was proper under the definition of 'arrangement' in Section 33(2). The observable acts of implementation—paying artificially low remuneration while extracting large tax-exempt dividends and interest-free loans—demonstrated an objective tax-avoidance effect. The applicants failed to satisfy the statutory exception under Section 33(3)(b) requiring both bona fide commercial reasons and absence of tax avoidance as a main purpose. The court rejected arguments based on unforeseeable changes in tax law and held that subjective motivations need not be assessed solely at the time of arrangement entry but throughout implementation. The court found the applicants' evidence inadequate: Dr Tan failed to explain why salary remained unchanged despite business growth or why dividends and loans were extracted at such substantial levels. The Comptroller's exercise of discretion was fair and reasonable.

Significance

This case establishes important principles for Singapore tax law regarding general anti-avoidance provisions. It clarifies that Section 33 applies to holistic arrangements viewed over time and that the observable acts of implementation—particularly the extraction of profits through tax-advantaged mechanisms—are critical to finding tax avoidance purpose. The judgment reinforces that medical practitioners cannot rely on technical compliance with statutory incentive schemes (SUTE/PTE) to shield obviously tax-driven structures. The decision emphasizes that ignorance of tax law changes is no excuse and that taxpayers bear responsibility for maintaining awareness of evolving tax regimes. Courts will examine profit extraction patterns across multiple years, not merely stated intentions at arrangement inception.

Precedent impact

The judgment affirms and applies the 'scheme and purpose approach' established in *Comptroller of Income Tax v AQQ* [2014] 2 SLR 847, particularly the three-stage analysis for determining Section 33 applicability. It reinforces prior holdings that arrangements should be viewed holistically when component steps are connected, and that courts should examine objective effects alongside subjective purposes. The decision provides guidance on assessing bona fide commercial reasons under Section 33(3)(b) and rejects artificial temporal limitations on assessing taxpayer motivations. It sets precedent requiring sufficient evidentiary support for claimed commercial purposes, rejecting vague references to accountant discussions without documentary evidence.

Full judgment URL

https://www.elitigation.sg/gd/s/2026_SGHC_132